www.tntextbooks.in

Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	1,04,000	
			Less: Additional bad debts	4,000	
				1,00,000	
			Less: Provision for bad and doubtful debts (closing)	5,000	95,000

Illustration 8

Abstracts from trial balance as on 31st December, 2016 are as follows:

Particulars	Debit `	Credit `
Bad debts written off	1,800	
Discount allowed	600	
Sundry debtors	20,000	
Provision for bad and doubtful debts		1,500
Provision for discount on debtors		500

A provision for doubtful debts @ 5% and a provision for discount @ 2% on sundry debtors are to be maintained by the trader. Show how these items would appear in the final accounts.

Solution

Working note:

Particulars	`
Sundry debtors	20,000
Less: Provision for bad and doubtful debts (closing) (20,000 x 5/100)	1,000
	19,000
Less: Provision for discount on debtors (19,000 x 2/100)	380
	18,620